No. 18-0918

IN THE

SUPREME COURT OF THE UNITED STATES

OCTOBER TERM, 2019

IN RE BACKSTREETS PLOWING, INC.,

Debtor,

STEVEN VIN SANT, CHAPTER 7 TRUSTEE,

Petitioner,

v.

MILTON WEINBERG,

Respondent.

ON WRIT OF CERTIORARI TO THE UNITED STATES COURT OF APPEALS FOR THE THIRTEENTH CIRCUIT

BRIEF FOR PETITIONER

Team Number P.59
Counsel for Petitioner

QUESTIONS PRESENTED

I. Whether 11 U.S.C. § 362(a)(3) is violated when a secured creditor passively retains possession of collateral that is lawfully repossessed from the debtor prior to the petition date?

II. Whether 11 U.S.C. § 503(b) permits a court to grant an administrative expense for a substantial contribution in a case under chapter 7 of the Bankruptcy Code.

TABLE OF CONTENTS

QUESTIONS PRESENTED i
TABLE OF CONTENTS ii
TABLE OF AUTHORITIES iv
OPINIONS BELOW vii
STATEMENT OF JURISDICTION vii
STATUTORY PROVISIONS vii
STATEMENT OF THE CASE 1
SUMMARY OF THE ARGUMENT 5
ARGUMENT 6
I. The courts below erred when they found that Weinberg did not violate the automatic stay. 7
A. Passive retention of estate property constitutes an exercise of control in violation of the automatic stay outlined in § 542 of the Bankruptcy Code. 7
B. Section 542 is self-executing, and therefore, it requires the creditor to turnover estate property lawfully repossessed prepetition. 10
C. A creditor cannot excuse his failure to comply with § 542's affirmative duty by claiming lack of adequate protection. 13
D. A willful violation of the automatic stay warrants damages. 15
II. The Bankruptcy Code precludes an administrative expense for a substantial contribution by a creditor in a chapter 7 case. 17
A. Principles of statutory construction compel the interpretation that section 503(b)(3)(D) governs section 503(b) 17
B. The allowance of substantial contributions pursuant § 503(b)(3)(D) is not discretionary and shaped by equitable considerations. 20
CONCLUSION 24
APPENDIX A 25
APPENDIX B 26
APPENDIX C 27
APPENDIX D 28

APPENDIX E 30
APPENDIX F 31
APPENDIX G 34
APPENDIX H 40
APPENDIX I 42

TABLE OF AUTHORITIES

U.S. SUPREME COURT CASES

Caminetti v. *United States*, 242 U.S. 470 (1917) 17
Connecticut Nat. Bank v. Germain, 503 U.S. 249 (1992) 8
Curtis v. Loether, 415 U.S. 189 (1974) 20
Duncan v. Walker, 533 U.S. 167 (2001) 20
Hartford Underwriters Ins. Co. v. Union Planters Bank, N.A., 530 U.S. 1 (2000) 17
King v. Burwell, 135 S. Ct. 2480 (2015) 22
Kingdomware Techs., Inc. v. United States, 136 S. Ct. 1969 (2016) 11
Landreth Timber Co. v. Landreth, 471 U.S. 681 (1985) 8
Law v. Siegel, 571 U.S. 415 (2014) 21
Morales v. Trans World Airlines, Inc., 504 U.S. 374 (1992) 19
RadLAX Gateway Hotel, LLC v. Amalgamated Bank, 566 U.S. 639 (2012) 17
Raleigh v. Illinois Dep't of Revenue, 530 U.S. 15 (2000) 20
Russello v. United States, 464 U.S. 16 (1983) 18
Taylor v. Freeland & Kronz, 503 U.S. 638 (1992) 20
TRW Inc. v. Andrews, 534 U.S. 19 (2001) 20
United States v. *Chase*, 135 U.S. 255 (1890) 19
United States v. Ron Pair Enterprises, Inc., 489 U.S. 235 (1989) 8
United States v. Ron Pair Enters., Inc., 489 U.S. 235 (1989) 17
United States v. Whiting Pools, Inc., 462 U.S. 198 (1983) 13
Washington Mkt. Co. v. Hoffman, 101 U.S. 112 (1879) 8
Whitman v. Am. Trucking Ass'ns, 531 U.S. 457 (2001) 11

U.S. COURT OF APPEALS CASES

Expeditors Int'l v. Colortran, Inc. (In re Colortran, Inc.), 210 B.R. 823 (B.A.P. 9th Cir. 1997) 12
In re Connolly N. Am., LLC, 802 F.3d 810 (6th Cir. 2015) 20, 21
In re Del Mission Ltd., 98 F.3d 1147 (9th Cir. 1996) 10
In re Federated Dep't Stores, Inc., 270 F.3d 994 (6th Cir. 2001) 21
In re Foremost Mfg. Co., 137 F.3d 919 (6th Cir. 1998) 20

In re Sharon, 234 B.R. 676, 682 (B.A.P. 6th Cir. 1999) 9
In re Weber, 719 F.3d 72 (2d Cir. 2013) 7
Knaus v. Concordia Lumber Co. (In re Knaus), 889 F.2d 773 (8th Cir. 1989) 9, 16
Mosier v. Kupetz (In re United Educ. & Software), 2005 WL 6960237 (B.A.P. 9th Cir. Oct. 7, 2005) 19
Ravazi v. Comm'r of Internal Revenue, 74 F.3d 125 (6th Cir. 1996) 7
Texas v. Soileau (In re Soileau), 488 F.3d 302 (5th Cir. 2007) 6
Thompson v. Gen. Motors Acceptance Corp., LLC, 566 F.3d 699 (7th Cir. 2009) 9, 15
United States v. Inslaw, Inc., 932 F.2d 1467 (D.C. Cir. 1991) 10
WD Equip., LLC v. Cowen (In re Cowen), 849 F.3d 943 (10th Cir. 2017) 7

BANKRUPTCY COURT CASES

Commercial Credit Corp. v. Reed, 154 B.R. 471 (E.D. Tex. 1993) 12
Gen. Motors Acceptance Corp. v. Ryan, 183 B.R. 288 (M.D. Fla. 1995) 14
In re Hackney, 351 B.R. 179 (Bankr. N.D. Ala. 2006) 20
In re Peterson, 152 B.R. 612 (D.S.D. 1993) 18
Johnston v. Parker (In re Johnston), 321 B.R. 262 (D. Ariz. 2005) 16
La Jolla Mortg. Fund v. Rancho El Cajon Assocs., 18 B.R. 283 (Bankr. S.D. Cal. 1982) 13
Mitchell v. BankIllinois (In re Mitchell), 316 B.R. 891 (S.D. Tex. 2003) 14

STATUTES & RULES

11 U.S.C. § 102(3) (2018) 18
11 U.S.C. § 105 (2018) 20, 21
11 U.S.C. § 361 (2018) 13
11 U.S.C. § 362(a) (2018) 7
11 U.S.C. § 362(k) (2018) 15
11 U.S.C. § 363(e) (2018) 13
11 U.S.C. § 503 (2018) ..... *passim*
11 U.S.C. § 542 (2018) 10
11 U.S.C. § 507 (2018) 22
11 U.S.C. § 541 (2018) 7

Pub.L. No. 98-353, 98 Stat. 333 (1984) 9

SECONDARY SOURCES

2 COLLIER ON BANKRUPTCY ¶ 105.01[1] (16th ed. 2018) 22
2 COLLIER ON BANKRUPTCY ¶105.01[2] (16th ed. 2018) 21
4 COLLIER ON BANKRUPTCY ¶ 503.10 (16th ed. 2018) 22
5 COLLIER ON BANKRUPTCY ¶ 541.01 (16th ed. 2018) 7
5 COLLIER ON BANKRUPTCY ¶ 542.01 (16th ed. 2018) 11
5 COLLIER ON BANKRUPTCY ¶ 542.03 (16th ed. 2018) 11
BLACK'S LAW DICTIONARY (10th ed. 2014) 9, 11

OPINIONS BELOW

The Bankruptcy Court for the District of Moot approved the sale of substantially all the Debtor's assets to Stone Pony in February of 2018. R. at 9. The bankruptcy court held that § 362(a)(3) was not violated when Weinberg retained possession of snow plow trucks that were legally repossessed prior to the bankruptcy filing because it constituted collateral for the loan made to the Debtor. R. at 3. Regarding the administrative expense issue, the bankruptcy court concluded that the Weinberg was entitled to a substantial contribution administrative expense because his efforts resulted in an enhanced pool of funds available for creditors. R. at 20. The chapter 7 Trustee appealed to the Bankruptcy Appellate Panel and the panel affirmed the bankruptcy court's rulings. R. at 3. Thereafter, the chapter 7 Trustee appealed both determinations to the Thirteenth Circuit. R. at 9. The Circuit Court upheld the bankruptcy appellate panel on a 2-1 verdict. R. at 9. Its opinion is reproduced as the record in this appeal. This appeal followed. R. at 9.

STATEMENT OF JURISDICTION

The formal statement of jurisdiction is waived pursuant to Competition Rule VIII.

STATUTORY PROVISIONS

The relevant statutory provisions involved in this case are listed below and are reproduced in Appendices A through I.

11 U.S.C. § 102 (2018).

11 U.S.C. § 105 (2018).

11 U.S.C. § 361 (2018).

11 U.S.C. § 362 (2018).

11 U.S.C § 363 (2018).

11 U.S.C. § 503 (2018).

11 U.S.C. § 507 (2018).

11 U.S.C. § 541 (2018).

11 U.S.C. § 542 (2018).

STATEMENT OF THE CASE

Backstreets Plowing Inc. ("Backstreets," or the "Debtor") operates a seasonal plowing business in the City of Badlands ("City"). R. at 3. In the spring of 2015, Christopher "Big Man" Clemons ("Clemons"), the business' sole shareholder, decided to purchase newer, more fuel-efficient, snow plow trucks. R. at 3. His decision was motivated by a desire to remain competitive and to decrease the recurring substantial costs he incurred in maintaining his old trucks. R. at 3. Also, the new trucks would give the Debtor a competitive advantage in competing for a plowing contract with the City in that same year. R. at 3-4.

Clemons approached Milton Weinberg ("Weinberg," or Creditor), an acquaintance through his bowling club, about the possibility of borrowing $450,000 to buy new snow plow trucks. R. at 4. Weinberg promptly agreed to loan the Debtor the funds. R. at 4. Although Debtor granted Weinberg a security interest in the trucks, Clemons also personally guaranteed the loan. R. at 4. Pursuant to the terms of the promissory note, Debtor agreed to make monthly payments to Weinberg starting on December 2015. R. at 4. Shortly after receiving the loan proceeds from the Creditor, The Debtor purchased the trucks. R. at 4.

With its new equipment ready to go, Debtor and its local competitors, Tenth Avenue Freeze, Inc. ("Tenth Avenue") and Stone Pony Plowing, LLC ("Stone Pony"), submitted bids for the plowing contract with the City. R. at 4. Although the Debtor's bid was far superior to the other bids submitted by its local competitors, the city council voted to award the contract to the Debtor. R. at 4. Afterwards, unfortunately, Clemons and Weinberg had a falling out related to their mutual love of college football. R. at 4. Weinberg and Clemons got into a heated argument about whose football team was better. R. at 5. The record suggests that Clemons and Weinberg did not talk for some time after this incident. R. at 5.

The winter of 2015-2016 was unusually mild, which proved to be profitable to the Debtor since its plowing contract with the City was based on a flat rate fee. R. at 5. Because of the lack of snow, the Debtor's maintenance costs were lower than expected. R. at 5. Despite this, and possibly due to the personal falling out between Clemons and Weinberg, Clemons failed to make the December 2015 loan payment. R. at 5. After not receiving the first payments, Weinberg contacted Clemons about the missing payments in February 2016. R. at 5.

Later in that same month, after several unanswered calls, Weinberg went to the Debtor's facility to inquire about the payments and an argument ensued between Weinberg and Clemons. R. at 5. Weinberg told Clemons to "lawyer up," and proceeded to file suit on the note in April 2016 in the State of Moot Circuit Court. R. at 5. Weinberg also sued Clemons on his personal guarantee as part of the same lawsuit. R. at 5. Six months later, Weinberg obtained a default judgment against both the Debtor and Clemons, jointly and severally, for $450,000 plus interests and fees. R. at 5. However, Weinberg did not immediately take any action to collect on his judgment. R. at 5.

The winter of 2016-2017 was brutal due to several Nor'easters. R. at 5. As a result of the brutal winter weather, the Debtor suffered substantial losses because the monthly payments from the City were not sufficient to allow the Debtor to pay its labor, maintenance and fuel costs. R. at 6. To worsen its financial strain, Weinberg began efforts to collect on his judgment in January 2017. R. at 6. Weinberg hired E Street Auto Recovery ("E Street"), a repossession company, to retrieve the snow plow trucks. R. at 6. In late January, E Street successfully repossessed the trucks from the Debtor's parking lot and delivered it to a warehouse owned by Weinberg. R. at 6. The trucks remain stored at Weinberg's warehouse to this day, although no foreclosure or similar proceedings have occurred, and the trucks remain titled in the name of the Debtor. R. at 6.

Without the trucks and faced with extreme financial hardship, the Debtor was unable to perform its plowing contract with the City, who later threatened to terminate its contract and sue the Debtor for damages. R. at 6. On February 4, 2017, due to its strained financial situation, the Debtor filed a chapter 11 petition. R. at 6. Shortly after the petition date, the Debtor's attorneys sent Weinberg a letter demanding that the snow plow trucks be returned immediately. R. at 6. Weinberg did not comply with this request and testified before the bankruptcy court that his refusal was based on his understanding that the Debtor had the burden to bring a turnover action; Weinberg also testified that upon the Debtor's turnover action, he believed he could demand adequate protection of his interest in the plowing trucks. R. at 6.

The Debtor did not commence a turnover action, but instead, filed a motion asking the bankruptcy court to determine that Weinberg's continued retention of the vehicles constituted a violation of the automatic stay under section 362(a)(3). R. at 6. Stating that it was a "close call," the bankruptcy court ruled in favor of Weinberg and found no violation had occurred. R.at 6. The Debtor timely appealed the bankruptcy court's ruling in March 2017. R. at 6. However, shortly after the appeal, Clemons concluded that efforts to reorganize would be futile because, among other reasons, the city council decided not to renew its contract with the Debtor for the following winter. R. at 7. Out of cash, and with the summer offseason to begin, the Debtor voluntarily converted the chapter 11 case to a case under chapter 7 of the Bankruptcy Code. R. at 7. On April 13, 2017, a Trustee was appointed to administer the Debtor's bankruptcy estate and liquidate his property. R. at 7. The Bankruptcy Appellate Panel stayed this appeal in order to allow the Trustee to substitute in for the Debtor and get up to speed on the appeal. R. at 7.

After the conversion of the case to chapter 7, Weinberg decided to pursue collection efforts against Clemons on the judgment related to his personal guarantee. R. at 7. Weinberg

hired a collection law firm, who subsequently took a creditor's examination of Clemons in May 2017. R. at 7. Through this examination, Weinberg discovered that beginning in May 2016, after Weinberg filed his initial lawsuit against the Debtor and Clemons, the Debtor made transfers of approximately $100,000 in cash directly to a bank account in the name of Patti Clemons ("Patti"). R. at 7.

After the creditor's examination was complete, Weinberg provided the Trustee with sufficient documentation and testimony to establish that the transfers were avoidable as fraudulent transfers. R. at 7. The Trustee commenced an adversary proceeding against Patti to avoid and recover the transfers. R. at 7. A settlement was reached and Patti agreed to pay $75,000 to the estate in satisfaction of all claims asserted by the Trustee. R. at 7.

Weinberg incurred $25,000 in legal fees investigating the transfers. R. at 7. Therefore, after the bankruptcy court approved the settlement, he filed a motion seeking allowance of a substantial contribution administrative expense pursuant to section 503(b). R. at 7. Although the Trustee acknowledged that Weinberg made a substantial contribution to the estate, he opposed the motion. R. at 8. The bankruptcy court approved Weinberg's motion and granted him an administrative expense in the amount of $25,000. R. at 8. The Trustee timely appealed. R .at 8.

In September 2017, Tenth Avenue sent a letter to the Trustee offering to purchase substantially all of the Debtor's assets, including the snow plow trucks. R. at 8. However, this offer was conditioned on the Trustee's immediately obtaining possession of, and conveying title to the snow plow trucks, which were in Weinberg's possession. R. at 8. The Trustee attempted to negotiate with Weinberg for the return of the trucks. R. at 8. The Trustee believed that Tenth Avenue's "going concern" offer was the best way to maximize the estate for the benefit of the creditors. R. at 8. The negotiations were unsuccessful, and the Trustee continued to prosecute the

appeal concerning Weinberg's alleged violation of the automatic stay. R. at 8. The Trustee hoped to pressure Weinberg into turning over the trucks so that a sale could be consummated with Tenth Avenue as soon as possible. R. at 8.

In November 2017, Tenth Avenue withdrew its purchase offer because it was clear that the Trustee would not be able to convey title to the snow plow trucks before the start of the winter season. R. at 8. In January 2018, Stone Pony offered $100,000 less for the Debtor's assets, and its offer excluded the snow plow trucks. R. at 8. Concluding that the value of the Debtor's assets would only diminish with time, the Trustee decided to accept Stone Pony's offer. In February 2018, the bankruptcy court approved the sale to Stone Pony. R. at 8-9. The Trustee has decided to continue pursuing the appeals. R. at 9. The Trustee hopes to prevail on the appeal regarding the automatic stay violation and recover the difference between Tenth Avenue's initial offer and the sale proceeds received from Stone Pony. R. at 9. The appeal concerning the stay violation has been consolidated with the appeal concerning an administrative expense before the appellate bankruptcy panel. R. at 9. The Appellate Panel has affirmed the bankruptcy court's ruling on both issues. R. at 9. The Trustee has timely appealed both rulings to this Court. R. at 9.

SUMMARY OF THE ARGUMENT

Section 362(a) clearly provides that passive retention of estate property after a bankruptcy petition has been filed constitutes a violation of the automatic stay. The minority approach, mainly endorsed by the 10th and D.C. Circuits, ignores the control exercise clause in § 362(a)(3) and reads that statute as it was written prior to the Bankruptcy Amendments and Federal Judgeship Act of 1984. The inclusion of the exercise clause in § 362(a)(3) broadened the scope of the automatic stay and it should not be overlooked. The majority of Circuit courts and bankruptcy courts recognize this interpretation and uphold that postpetition retention of estate

property by a creditor violates the automatic stay. There is a reason for this: the statutory language of § 362 could not be more clear and plain. Additionally, § 542's plain language requires a creditor to turnover property of estate to the trustee unless such property is of inconsequential value or benefit to the estate. Section 542 does not require the trustee to bring a turnover action in order to compel a creditor to turnover estate property. On the contrary, creditors must turnover estate property and then, go through the proper procedure outlined in the Bankruptcy Code in order to demand adequate protection.

Moreover, § 503(b)(3)(D) clearly precludes the award of substantial contribution administrative expenses in chapter 7 cases. Section 503(b)'s broad prefatory language is limited by the more specific and limited provision of subsection (3)(D). Both the statute's plain meaning and the interpretative canon that specific governs the general supports this interpretation. Reducing § 503(b)(3)(D) to an equitable statute is inconsistent with its plain meaning and the limitations placed by Congress on bankruptcy courts' exercise of equitable powers.

Weinberg has violated the automatic stay since he refused to turnover estate property to the chapter 7 Trustee and still retains the property till this day. Furthermore, while Weinberg's actions of providing documentation and testimony about possible fraudulent transfers to the chapter 7 Trustee are commendable, § 503(b)(3)(D)'s language does not allow bankruptcy courts to exercise discretion and grant his substantial contribution the status of administrative priority. Therefore, this Court should reverse.

ARGUMENT

The facts of this case are undisputed. R. at 9. This appeal presents only questions of law. Therefore, the standard of review is de novo. *Texas v. Soileau (In re Soileau)*, 488 F.3d 302, 305 (5th Cir. 2007) (citation omitted). Under a de novo standard of review, the reviewing court

decides an issue as if the court were the original trial court in the matter. *Ravazi v. Comm'r of Internal Revenue*, 74 F.3d 125, 127 (6th Cir. 1996) (quotation omitted).

I. The courts below erred when they found that Weinberg did not violate the automatic stay.

A. Passive retention of estate property constitutes an exercise of control in violation of the automatic stay outlined in § 542 of the Bankruptcy Code.

The filing of a bankruptcy petition creates a bankruptcy estate, which encompasses "all legal or equitable interests of the debtor in property as of the commencement of the case[,] wherever located and by whomever held." 11 U.S.C. § 541 (2018); *see also* 5 COLLIER ON BANKRUPTCY ¶ 541.01 (16th ed. 2018) (The creation of a bankruptcy estate promotes two central purposes of the Code: "breathing room given to a debtor that attempts to make a fresh start, and the equality of distribution of assets among similarly situated creditors."). To shelter the estate from creditors, the filing of a bankruptcy petition, "operates as a stay, applicable to all entities," of actions such as lien enforcements and litigation. 11 U.S.C. § 362(a) (2018); *see also In re Weber*, 719 F.3d 72, 76 (2d Cir. 2013). Therefore, if a creditor wishes to retain property, he must seek relief from the automatic stay. § 362(f).

Section 362(a)(3) of the Bankruptcy Code provides that the automatic stay enjoins two types of actions: first, "any act to obtain possession of property of the estate or of property from the estate," or second, an act "to exercise control over property of the estate." § 362(a)(3). A minority approach, expounded by the 10th and D.C. Circuits, and followed by a few bankruptcy courts argue that a violation of the stay can only exist upon the occurrence of a post-petition affirmative act by the creditor. *See WD Equip., LLC v. Cowen* (In re Cowen), 849 F.3d 943, 948 (10th Cir. 2017). Such approach to stay violations ignores the plain meaning of the statute and is inconsistent with the Bankruptcy Code's policy goals.

The plain language of § 362(a)(3) compels the conclusion that passive retention of estate property is sufficient for a violation of the automatic stay. § 362(a)(3). As with any issue of statutory interpretation, the starting point is the language of the statute. *Landreth Timber Co. v. Landreth*, 471 U.S. 681, 685 (1985). And as this Court has stated in *United States v. Ron Pair Enterprises, Inc.*, "[t]he plain meaning of legislation should be conclusive, except in the rare cases [in which] the literal application of a statute will produce a result demonstrably at odds with the intentions of its drafters." *United States v. Ron Pair Enterprises, Inc.*, 489 U.S. 235, 242 (1989) (citation omitted and internal quotations omitted). Thus, "judicial inquiry is complete" when the language of the statute is plain and unambiguous. *Connecticut Nat. Bank v. Germain*, 503 U.S. 249, 254 (1992).

The minority approach on which Weinberg relies overlooks the control exercise clause in § 362(a)(3), and as a result, misconstrues the statute. While the first part of § 362(a)(3) mentions "an act to obtain possession," raising the inference that an affirmative act is required, the statute does not end there. In fact, the minority view ignores the phrase "to exercise control" on the second half of the statutory provision. § 362(a)(3). This violates the fundamental principle of statutory construction, which provides that "significance and effect shall, if possible, be accorded to every word. *Washington Mkt. Co. v. Hoffman*, 101 U.S. 112, 115 (1879). Thus, the minority view treats the exercise clause as "mere verbiage," and renders the second half of the statute meaningless.

Indeed, the legislative history supports the majority approach that passive retention of estate property violates the automatic stay. Before 1984, § 362(a)(3) did not contain language about exercising control over estate property. However, the Bankruptcy Amendments and Federal Judgeship Act of 1984 amended paragraph 3 of § 362(a) "by inserting 'or to exercise

control over property of the estate' after 'estate' the second place it appears." Pub.L. No. 98-353, 98 Stat. 333 (1984). Congress' decision to expand the reach of § 362(a)(3) supports the view that postpetition retention of assets lawfully repossessed prepetition violates the automatic stay. *See Thompson v. Gen. Motors Acceptance Corp., LLC*, 566 F.3d 699, 702 (7th Cir. 2009).

Weinberg's retention of the snow plow trucks constituted an exercise of control within the meaning of § 362(a)(3). According to Black's Law Dictionary, the word "control" means "[t]o exercise power or influence over; to regulate or govern; restrain, curb; to hold from action, dominate." BLACK'S LAW DICTIONARY (10th ed. 2014); *see also In re Sharon*, 234 B.R. 676, 682 (B.A.P. 6th Cir. 1999) (explaining that "[w]ithholding possession of property of the bankruptcy estate constitutes 'the exercise [of] control over property of the estate' for purposes of the automatic stay in 11 U.S.C. § 362(a)(3)."). Weinberg exercised power over the trucks by unilaterally retaining them in his warehouse and refusing to turn it over to Debtor upon request. R. at 6. Furthermore, his exercise of control prevented the Debtor from not only keeping his snow plow business running, but also defeated the Debtor's reorganization efforts. R. at 6-7.

The reasoning of *Knaus* is instructive here. In that case, a debtor purchased merchandise from a lumber company on credit and later defaulted. *Knaus v. Concordia Lumber Co. (In re Knaus)*, 889 F.2d 773, 774 (8th Cir. 1989). After the creditor obtained a judgment, the sheriff seized equipment belonging to the debtor. *Id.* While the property was still in the possession of the sheriff and before any sale occurred, the debtor filed for chapter 11. *Id.* The debtor's attorney demanded the return of the property to the debtor but the creditor refused to comply. *Id.* The bankruptcy court found that the creditor had violated the automatic stay, and upon appeal, the Court of Appeals for the Eight Circuit agreed. *Id.* at 775. The court reasoned that "[t]he duty to turn over the property is not contingent upon any predicate violation of the stay, any order of the

bankruptcy court, or any demand by the creditor. Rather, the duty arises upon the filing of the bankruptcy petition." *Id.* (citation omitted).

Likewise, *In re Del Mission Ltd.* involved a creditor's passive retention of estate property. In that case, after a petition was filed, an attempt was made to sell the debtor's liquor license. *In re Del Mission Ltd.*, 98 F.3d 1147, 1149 (9th Cir. 1996). However, the state of California prevented the sale demanding payment of accrued taxes and interest before the sale could be approved. *Id.* The chapter 7 trustee, after paying the taxes under protest, brought a suit in the bankruptcy court seeking repayment. *Id.* The state did not repay the taxes, and the bankruptcy court found that the state's action violated the automatic stay. *Id.* The State of California appealed, and the Court of Appeals for the Ninth Circuit held that the state had violated the automatic stay by the act of knowingly retaining taxes that it had been ordered to repay to the debtor. *Id.* at 1151. The court adopted the interpretation outlined in the *Abrams* and *Chugach* precedents and reasoned that § 362(a)(3) "proscribe[d] the mere knowing retention of estate property." *Id.* Similarly, in the case at bar, Weinberg had notice of Backstreet's bankruptcy filing, but nevertheless, he refused to return the trucks upon the debtor's request. R. at 6. Therefore, Weinberg violated the automatic stay by passively retaining possession of the snow plow trucks. R. at 6.

B. Section 542 is self-executing, and therefore, it requires the creditor to turnover estate property lawfully repossessed prepetition.

Section 542 of the Bankruptcy Code contains its "turnover" provisions. 11 U.C.S. § 542 (2018); *see also United States v. Inslaw, Inc.*, 932 F.2d 1467, 1471 (D.C. Cir. 1991) (explaining turnover power as the power that "allow[s] the trustee to recover property that 'was merely out of the possession of the debtor, yet remained property of the debtor.'"). This section commands that "an entity, . . . in possession, custody, or control, during the case, of property that the trustee may

use, sell, or lease under section 363 . . . *shall deliver to the trustee*, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate." § 542 (emphasis added). By its own plain language, § 542 is self-effectuating, and does not require the trustee to take any action to compel turnover of estate property in possession of a creditor. *See* 5 COLLIER ON BANKRUPTCY ¶ 542.01 (16th ed. 2018) (explaining that § 542 applies to both reorganizations and liquidations). Requiring the trustee to take affirmative action to recover estate property is inconsistent with § 542's unambiguous statutory language.

A complete reading of § 542 compels the conclusion that a creditor's duty to return estate property in his possession arises when a bankruptcy petition is filed. *Knaus,* 889 F.2d at 775. First, § 542 employs the term "shall," raising the inference that such duty is mandatory. *See* BLACK'S LAW DICTIONARY (10th ed. 2014) (the word "shall" means "[h]as a duty to, is required to; this is the mandatory sense that drafters typically intend and that courts typically uphold."); *see also Kingdomware Techs., Inc. v. United States*, 136 S. Ct. 1969, 1977 (2016) ("Unlike the word 'may,' which implies discretion, the word "shall" usually connotes a requirement."). Second, § 542's language broadly lists several types of control a party can exercise over property, i.e., possession, control, or custody, and places on the entity, and not on the trustee, the responsibility to take an affirmative action, i.e., deliver and account for property. No obligation is imputed to the trustee. It is that simple.

As stated by this Court, Congress does not "hide elephants in mouseholes." *Whitman v. Am. Trucking Ass'ns*, 531 U.S. 457, 468 (2001). And it did not. The language of § 542(a) is unambiguous and clear: the duty to return property falls on the creditor. *See* 5 COLLIER ON BANKRUPTCY ¶ 542.03 (16th ed. 2018) ("By its express terms, section 542(a) . . . does not require that the trustee take any action or commence a proceeding or obtain a court order to

compel the turnover."). Indeed, several courts agree with this interpretation. *See Expeditors Int'l v. Colortran, Inc. (In re Colortran, Inc.)*, 210 B.R. 823, 827 (B.A.P. 9th Cir. 1997) ("A creditor who possesses property of the estate on the date the bankruptcy petition is filed has an obligation to turn that property over to the debtor or to the trustee."), *see also Commercial Credit Corp. v. Reed*, 154 B.R. 471, 476 (E.D. Tex. 1993) ("a creditor who retains lawfully repossessed collateral after receiving notice or actual notice of the pendency of a bankruptcy case has engaged in conduct that is contemptuous.").

As this Court identified in *Whiting Pools*, § 542 contains three statutory exceptions that can be used by the creditor to relieve him from his obligation to turnover property of the estate. *See* 11 U.S.C. § 542 (2018). They are: (i) the property "is of inconsequential value or benefit to the estate;" (ii) when the holder of the property has transferred it in good faith and the transfer was done without the knowledge of the bankruptcy petition, or (iii) the transfer of property is to pay a life insurance premium. *Id.*

Here, none of the exceptions apply, and therefore, Weinberg violated the stay by retaining control of the snow plow trucks in his warehouse. R. at 6. Not only the trucks were of consequential value to the Debtor's estate, they were essential to the Debtor's business "going concern." R. at 6-7. The Debtor snow plow business could not operate without its snow plow trucks. R. at 6. Weinberg's refusal to turnover property not only diminished the Debtor's "going concern," but also ultimately frustrated the debtor's reorganization efforts. R. at 7. Indeed, Weinberg's failure to return the trucks ultimately reduced the amount of funds the chapter 7 trustee received for the Debtor's assets. R. at 8. Additionally, since the trucks remain at Weinberg's warehouse till this day, the second exception does not apply. R. at 6. Lastly, there is no insurance premium involved in this case. Thus, Weinberg failed to comply with the

affirmative duty imposed by § 542 that required him to turnover the snow plow trucks to the Debtor. R. at 6. Not only Weinberg willfully retained possession of the trucks, but he also conditioned the turnover on receiving adequate protection. This, the Bankruptcy Code does not allow. Thus, Weinberg has violated the automatic stay.

C. A creditor cannot excuse his failure to comply with § 542's affirmative duty by claiming lack of adequate protection.

Section 363(e) affords creditors the safeguard of adequate protection. 11 U.S.C. § 363(e) (2018). It expressly states that "at any time, on request of an entity that has an interest in property used, sold, or leased, or proposed to be used, sold, or leased, by the trustee, the court, with or without a hearing, shall prohibit or condition such use, sale, or lease as is necessary to provide *adequate protection* of such interest. *Id.* (emphasis added); *see also La Jolla Mortg. Fund v. Rancho El Cajon Assocs.*, 18 B.R. 283, 286 (Bankr. S.D. Cal. 1982) ("The purpose of the provision is to insure that the creditor with a secured claim receive in value essentially what he bargained for."). Section 361, in turn, offers a non-exclusive list of ways in which a creditor can be adequately protected. 11 U.S.C. § 361 (2018) (Section 361 provides for periodic cash payments, replacement liens or "other relief").

However, a creditor cannot condition the return of estate property on receiving adequate protection. In fact, this is exactly what Weinberg did here. R. at 6. This Court has made this very clear in the *Whiting Pools* decision. In *Whiting Pools*, this Court recognized that §§ 541(a) (defining property of the estate) and 363 (use or sale of estate property) do not operate as limitations to limit the bankruptcy estate to "interests of the debtor in property," but rather as "a definition of what is included in the estate." *United States v. Whiting Pools, Inc.*, 462 U.S. 198, 203 (1983). Indeed, this Court reasoned that Congress chose to include property subject to secured interests in the bankruptcy estate, and afford "secured creditors with adequate protection

for their interests". *Id.* at 203–04 (1983). Hence, this Court reasoned that the rights afforded to creditors by the Code, i.e., adequate protection, "replace the protection afforded by possession." *Id.* at 207. This Court therefore, instructed the creditor to turnover the property to the debtor and "to seek protection of its interest according to the congressionally established bankruptcy procedures, rather than by withholding the seized property from the debtor's efforts to reorganize." *Id.* at 212.

In *Colortran*, after recognizing a creditor's right to be adequately protected, the Court of Appeals for the Ninth Circuit stated, "[a] creditor has a right to and may request terms of adequate protection *while simultaneously* returning the goods. However, while the creditor *may suggest* terms of adequate protection, it *may not unilaterally condition* the return of the property on its own determination of adequate protection." *Expeditors Int'l,* 210 B.R. at 827-28 (citation omitted) (emphasis added). Hence, creditors must turnover estate property, and then seek adequate protection of their interests. *See Mitchell v. BankIllinois (In re Mitchell)*, 316 B.R. 891, 900 (S.D. Tex. 2003) ("A creditor has immediate access to the courts to obtain assurance adequate protection of the collateral under 11 U.S.C. § 362(e)-(f)."

Thus, it was incumbent on Weinberg to turnover the snow plow trucks upon receiving notice of the Debtor's filling of the bankruptcy petition. Weinberg does not dispute that he was aware of the Debtor's bankruptcy filing. R. at 6. Indeed, the Debtor sent a letter to Weinberg demanding the turnover of the trucks and giving notice of the bankruptcy filing. R. at 6. Additionally, Weinberg's assertion the Debtor had the burden to bring a turnover action before he could return the plow trucks is not legally sound. R. at 6. If Weinberg wanted to maintain possession of the snow plow trucks, he should have requested relief from the automatic stay. *See Gen. Motors Acceptance Corp. v. Ryan*, 183 B.R. 288, 289 (M.D. Fla. 1995) (the court reasoned

that "instead of waiting for the debtor to institute turnover proceedings, the creditor should come into court upon proper notification, and request a lifting of the automatic stay, at which time the creditor may obtain the protection to which it is entitled."). Nevertheless, Weinberg failed to do so. R. at 6.

Moving beyond this present case, holding that passive retention of estate property does not constitute a violation of the stay would undermine the policies of the Bankruptcy Code. Creditors cannot be allowed to retain possession of assets repossessed prepetition and put the burden on debtors to bring turnover actions to compel return of property. *See Thompson*, 566 F.3d at 703. Indeed, "allowing the creditor to maintain possession of the asset until it subjectively feels that adequate protection is in place, or until the debtor moves for the asset's return, unfairly tips the bargaining power in favor of the creditor." *Id.* at 707. This approach allows creditors to negotiate "a better security package" for themselves, which in turn, "essentially remove[s] the equitable powers of the bankruptcy court." *Id.*

Creditors cannot retain possession of assets repossessed prepetition and put the burden on the debtor to bring a turnover action to compel return of property. *Id.* at 703. This would be inconsistent with the policies of the Bankruptcy Code. Indeed, "allowing the creditor to maintain possession of the asset until it subjectively feels that adequate protection is in place, or until the debtor moves for the asset's return, unfairly tips the bargaining power in favor of the creditor." *Id.* at 707. This approach allows creditors to negotiate "a better security package" for themselves, which in turn, "essentially remove[s] the equitable powers of the bankruptcy court." *Id.*

D. A willful violation of the automatic stay warrants damages.

Section 362(k) of the Bankruptcy Code provides for recovery of damages for willful violation of the automatic stay. 11 U.S.C. § 362(k) (2018). It provides that "an individual injured

by any willful violation of a stay provided by this section shall recover actual damages, including costs and attorneys' fees, and, in appropriate circumstances, may recover punitive damages." *Id.* "A willful violation of the automatic stay occurs when the creditor acts deliberately with knowledge of the bankruptcy petition." *Knaus,* 889 F.2d at 775. Therefore, a willful violation does not require specific intent. *See Johnston v. Parker (In re Johnston)*, 321 B.R. 262, 275 (D. Ariz. 2005).

In the case at bar, Weinberg willfully violated the automatic stay. The record indicates that the Debtor filed a bankruptcy petition on February 4, 2017. R. at 6. Additionally, the record indicates that the Debtor's attorneys sent Weinberg a letter demanding the return of the snow plow trucks shortly after the commencement of the bankruptcy case. R. at 6. Although not disputing that the trucks were property of the estate, Weinberg, having knowledge of the bankruptcy petition, still refused to return the trucks to the Debtor. R. at 6. Instead, he voluntarily chose to continue to store the snow plow trucks in his warehouse. R. at 6. Weinberg's violation was deliberate and in knowledge of the bankruptcy petition. The court should award the chapter 7 Trustee $ 100,000 in damages since this amount corresponds to the difference between Tenth Avenue's initial offer for the Debtor's assets and the sale proceeds from Stone Pony.

II. The Bankruptcy Code precludes an administrative expense for a substantial contribution by a creditor in a chapter 7 case.

A. Principles of statutory construction compel the interpretation that § 503(b)(3)(D) governs § 503(b)

The Bankruptcy Code is a "comprehensive scheme" where Congress "deliberately targeted specific problems with specific solutions." *RadLAX Gateway Hotel, LLC v. Amalgamated Bank*, 566 U.S. 639, 645 (2012) (citation omitted). Hence, in resolving challenging issues of statutory interpretation, the inquiry starts with the statutory language. *See Ron Pair Enters., Inc.*, 489 U.S. at 241. ("[t]he task of resolving the dispute over the meaning of [the Bankruptcy Code] begins where all such inquiries must begin: with the language of the statute itself."). Where the language of the statute is plain and unambiguous, "the sole function of the courts is to enforce it according to its terms." *Id.* (quoting *Caminetti* v. *United States*, 242 U.S. 470, 485 (1917)); *see also Hartford Underwriters Ins. Co. v. Union Planters Bank, N.A.*, 530 U.S. 1, 6 (2000) ("Congress 'says in a statute what it means and means in a statute what it says there.'").

Section 503 of the Bankruptcy Code governs the allowance of administrative expenses. 11 U.S.C. § 503 (2018). Subsection (b) employs broad prefatory language and provides for a non-exhaustive list of administrative expenses a bankruptcy court may allow. § 503(b)(1)-(9). In contrast, subsection (b)(3)(D) applies only to the "actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) . . . incurred by a creditor, . . . in making a substantial contribution in a case *under chapter 9 or 11 of this title*." § 503(b)(3)(D) (emphasis added). The Code, therefore, limits the allowability of substantial contribution administrative expenses to only two types of cases, chapters 9 or 11. *Id.*

At first glance, this Court might be persuaded to interpret the word "including" in the preamble language of § 503(b) as giving courts discretion and flexibility to award unlisted administrative expenses on a case by case basis. Such view is unwarranted and inconsistent with the plain meaning of the statute. Indeed, pursuant to rules of construction outlined in § 102(3) of the Bankruptcy Code, the word "including" is "not limiting." 11 U.S.C. § 102(3) (2018). However, while the term "including" indicates that the list in § 503(b) is non-exhaustive, "the presence of subsection (3)(D) to § 503(b) casts an entirely different light on the analysis of the statute." *In re Peterson*, 152 B.R. 612, 614 (D.S.D. 1993).

Certainly, an incomplete reading of § 503(b) suggests that bankruptcy courts are free to fashion an administrative expense that is not listed in § 503(b). *See* § 503(b) (2018). But the presence of a specific provision, in this case § 503(b)(3)(D), suggests that Congress intended to limit the specific instances in which courts could give administrative priority status to substantial contributions made by creditors. The Supreme Court has held that "where Congress includes particular language in one section of a statute but omits it in another section of the same Act, it is generally presumed that Congress acts intentionally and purposely in the disparate inclusion or exclusion." *Russello v. United States*, 464 U.S. 16, 23 (1983). Therefore, the exclusion of chapter 7 in § 503(b)(3)(D) should not be regarded as a mistake or oversight. Instead, substantial contribution administrative expenses are not allowable in chapter 7 cases.

Moreover, the restrictive nature of § 503(b)(3) does not support granting the status of administrative priority to creditors' substantial contributions in chapter 7 cases. When, as in § 503(b)(3), the "statute sets forth a series of items included under a general rule, and does not use the term 'including,' the canon of *expressio unius est exclusio alterius* applies, under which a court infers an intention to restrict the statute's application to the specific listed examples."

Mosier v. Kupetz (In re United Educ. & Software), 2005 WL 6960237, at *7 (B.A.P. 9th Cir. Oct. 7, 2005) (citation omitted); *compare* 11 U.S.C. § 503(b)(1)(A) ("necessary costs and expenses of preserving the estate *including*. . .") with 11 U.S.C. § 503(b)(3) (excluding the word "including"). Thus, the language of § 503(b)(3) allows the inference that such section is exhaustive, and that subsections (A)-(F) are not mere examples of expenses.

The plain meaning and the textual framework of §§ 503(b) and 503(b)(3)(D) also support the interpretation that § 503(b)(3)(D) operates as a limitation on § 503(b)'s prefatory language. The interpretative canon that the "specific controls the general" supports this interpretation. *See Morales v. Trans World Airlines, Inc.*, 504 U.S. 374, 384 (1992) ("it is a commonplace of statutory construction that the specific governs the general."). As this Court has previously stated in *United States v. Chase*:

> It is an old and familiar rule that, where there is, in the same statute, a particular enactment, and also a general one, which, in its most comprehensive sense, would include what is embraced in the former, the particular enactment must be operative, and the general enactment must be taken to affect only such cases within its general language as are not within the provisions of the particular enactment. This rule applies wherever an act contains general provisions and also special ones upon a subject, which, standing alone, the general provisions would include.

United States v. *Chase*, 135 U.S. 255, 260 (1890) (citations and internal quotation marks omitted). Reading § 503(b)(3)(D) as a mere example and not as an operative limitation on § 503(b) creates a superfluity problem.

To acknowledge substantial contributions of creditors in chapter 7 cases and give it priority status would "write § 503(b)(3)(D) out of the Code." If creditors who make substantial contributions in a Chapter 7 case were entitled to administrative priority, the expression "in a case under Chapter 9 or 11 of this title" in § 503(b)(3)(D) would be mere surplusage. § 503(b)(3)(D) (2018). This would violate a "cardinal principle of statutory construction" since "a

statute ought, upon the whole, to be so construed that, if it can be prevented, no clause, sentence, or word shall be superfluous, void, or insignificant." *TRW Inc. v. Andrews*, 534 U.S. 19, 31 (2001) (citation omitted). Thus, § 503(b)(3)(D) is not a mere illustration or part of a contextual framework designed to "provide guidance" to the courts. *In re Connolly N. Am., LLC*, 802 F.3d 810, 817 (6th Cir. 2015). Instead, it was purposefully put in place and as such, must be given its true meaning. *See Duncan v. Walker*, 533 U.S. 167, 174 (2001) (stating that "[w]e are thus 'reluctan[t] to treat statutory terms as surplusage' in any setting.").

Finally, to allow substantial contribution administrative expenses in chapter 7 cases would, in fact, rewrite § 503(b)(3)(D). This is not the prerogative of the courts. Congress, and not the courts, has the authority to address inequities that arise from the statute's application, and may rewrite § 503(b)(3)(D) to include chapter 7 cases if it so chooses. *See Taylor v. Freeland & Kronz*, 503 U.S. 638, 639 (1992). Congress has not done so. *In re Hackney*, 351 B.R. 179, 201 (Bankr. N.D. Ala. 2006). Therefore, § 503(b)(3)(D) should be applied to this case as it is written.

B. The allowance of substantial contributions pursuant § 503(b)(3)(D) is not discretionary and shaped by equitable considerations.

Bankruptcy courts are courts of equity. *See Curtis v. Loether,* 415 U.S. 189, 195 (1974); *see also* 11 U.S.C. § 105 (2018). Yet, they "are not authorized in the name of equity to make wholesale substitution of underlying law . . . but [instead] are limited to what the Bankruptcy Code itself provides." *Raleigh v. Illinois Dep't of Revenue*, 530 U.S. 15, 24–25 (2000). The minority view outlined *In re Connolly* argues that the allowance of administrative expenses in Chapter 7 cases under § 503(b)(3)(D) should be governed by equitable principles. *See In re Connolly*, 802 F.3d at 810. This view, however, runs afoul of the limitations on the bankruptcy courts' equitable powers. *See In re Foremost Mfg. Co.*, 137 F.3d 919, 924 (6th Cir. 1998)

(explaining that "although the bankruptcy court has broad equitable powers under 11 U.S.C. § 105(a), those powers are not unlimited.").

Pursuant to § 105, bankruptcy courts have the authority to "issue any order, process, or judgment that is necessary or appropriate to carry out *the provisions of this title*." 11 U.S.C. § 105 (2018) (emphasis added). Thus, bankruptcy courts cannot in the name of equity "override explicit mandates of other sections of the Bankruptcy Code." 2 COLLIER ON BANKRUPTCY ¶105.01[2] (16th ed. 2018). Section 503(b)(3)(D)'s express language clearly restricts substantial contribution administrative expenses to cases under chapters 9 or 11 of the Code. § 503(b)(3)(d). Therefore, the statute requires the application of a simple axiom: "a statute's general permission to take actions of a certain type must yield to a specific prohibition found elsewhere." *Law v. Siegel*, 571 U.S. 415, 421 (2014) (citations omitted). The minority view sacrifices § 503(b)(3)(D)'s plain statutory language and ignores that bankruptcy court's "inherent sanctioning powers are likewise subordinate to valid statutory directives and prohibitions." *Id.*

Furthermore, claims for administrative expenses pursuant to § 503 are to be "strictly construed because priority claims reduce the funds available for creditors and other claimants." *In re Federated Dep't Stores, Inc.,* 270 F.3d 994, 1000 (6th Cir. 2001) (citation omitted). Yet, justified by equitable considerations, *Connolly's* reading of § 503(b)(3)(D) gives it "a sweeping reach" *In re Connolly*, 802 F.3d at 820 (O'Malley, J., dissenting). Section 503(b)(3)(D) express language limiting the award of priority status to substantial contributions by creditors in "chapters 9 or 11" of the Code indicates that there is no textual support for *Connolly*'s interpretation of the statute. § 503(b)(3)(D). Section 105(a) confers authority to bankruptcy courts "to 'carry out' the provisions of the Code, but it is quite impossible to do that by taking action that the Code prohibits." *Siegel*, 571 U.S. at 421; *see also* 2 COLLIER ON

BANKRUPTCY ¶ 105.01[1] (16th ed. 2018) (explaining that "[s]ection 105 uses the term "provisions" and not the term "purposes" in describing the bankruptcy court's power to effect the mandate of the Bankruptcy Code. The statutory language thus suggests that an exercise of section 105 power be tied to another Bankruptcy Code section and not merely to a general bankruptcy concept or objective.").

While Weinberg's actions were commendable, and the trustee did not dispute that Weinberg conferred a benefit to the estate by voluntarily turning information about possible fraudulent transfers, R. at 7-8, even if the administrative priority status is not granted to his substantial contribution, Weinberg does not leave the bankruptcy proceeding "empty-handed." Weinberg is a secured creditor, who has a perfected purchase-money security interest in the snow plow trucks, and as such, he holds a first priority lien on the trucks. R. at 4. Weinberg's secured status gives him priority over other creditors such as general unsecured creditors. 11 U.S.C. § 507 (2018). Therefore, since it appears from the record that Weinberg is the only creditor in Backstreet's bankruptcy proceeding, it is very likely that Weinberg will receive a substantial share of the estate.

Lastly, even if a plain reading of § 503(b)(3)(D) afforded an inequitable result to this case, the use of equity to afford Weinberg a relief is completely unnecessary. *Connolly* and its progeny's efforts to interpret § 503(b)(3)(D) as an equitable statute are unneeded. Section 503(b)(4) provides an avenue for "reasonable compensation for professional services rendered by an attorney or an accountant" of creditors. 11 U.S.C. § 503(b)(4) (2018). Therefore, courts should not rewrite § 503(b)(3)(D) "under the pretense of interpreting it" to afford Weinberg a relief that was already prescribed by the Code. *King v. Burwell*, 135 S. Ct. 2480, 2506 (2015); *see also* 4 COLLIER ON BANKRUPTCY ¶ 503.10 (16th ed. 2018) ("If an entity that qualifies

for administrative expense priority seeks reimbursement for professional fees, it must seek such reimbursement under section 503(b)(4) rather than section 503(b)(3).").

CONCLUSION

Weinberg has willfully violated the automatic stay. He had knowledge of the bankruptcy case, but nevertheless, he refused to turnover the snow plow trucks to the chapter 7 trustee. His stubbornness not only frustrated the Debtor's business "going concern," but it also hindered the Debtor's reorganization efforts. Weinberg had many opportunities to assert his interests in a manner consistent with the protections awarded to creditors by the Code. It could have requested relief from the automatic stay; it could have turned over estate property and moved for adequate protection pursuant to § 363(e). Yet, Weinberg chose to retain possession of estate property and knowingly violate the automatic stay.

Weinberg seeks this Court to uphold the award of priority status to his substantial contribution in a chapter 7 bankruptcy case. In order to do this, Weinberg relies on a legal fallacy, an interpretation of § 503(b)(3)(D) that is inconsistent with the statute's plain meaning and unsupported by the application of canons of statutory construction. His approach renders § 503(b)(3)(D) meaningless, and opens the possibility for bankruptcy courts to exercise their equitable powers outside of the confines of the Bankruptcy Code. Although his efforts to expose fraudulent transfers benefited the bankruptcy estate, he failed to follow the proper procedure outlined in other sections of the Code such as § 503(b)(4) to request relief. This Court should not allow Weinberg to circumvent the Bankruptcy Code. This Court should reverse the Thirteenth Circuit's decision.

APPENDIX A

11 U.S.C. § 102 (2018)

Rules of construction

In this title

(1) "after notice and a hearing", or a similar phrase--

(1)(A) means after such notice as is appropriate in the particular circumstances, and such opportunity for a hearing as is appropriate in the particular circumstances; but

(1)(B) authorizes an act without an actual hearing if such notice is given properly and if--

(1)(B)(i) such a hearing is not requested timely by a party in interest; or

(1)(B)(ii) there is insufficient time for a hearing to be commenced before such act must be done, and the court authorizes such act;

(1)(B)(ii)(2) "claim against the debtor" includes claim against property of the debtor;

(1)(B)(ii)(3) "includes" and "including" are not limiting;

(1)(B)(ii)(4)- (1)(B)(ii)(9) [omitted]

APPENDIX B

11 U.S.C. § 105 (2018).

Power of Court

(a) The court may issue any order, process, or judgment that is necessary or appropriate to carry out the provisions of this title. No provision of this title providing for the raising of an issue by a party in interest shall be construed to preclude the court from, sua sponte, taking any action or making any determination necessary or appropriate to enforce or implement court orders or rules, or to prevent an abuse of process.

(b)-(d) [omitted]

APPENDIX C

11 U.S.C. § 361 (2018).

Adequate Protection

When adequate protection is required under section 362, 363, or 364 of this title of an interest of an entity in property, such adequate protection may be provided by--

(1) requiring the trustee to make a cash payment or periodic cash payments to such entity, to the extent that the stay under section 362 of this title, use, sale, or lease under section 363 of this title, or any grant of a lien under section 364 of this title results in a decrease in the value of such entity's interest in such property;

(2) providing to such entity an additional or replacement lien to the extent that such stay, use, sale, lease, or grant results in a decrease in the value of such entity's interest in such property; or

(3) granting such other relief, other than entitling such entity to compensation allowable under section 503(b)(1) of this title as an administrative expense, as will result in the realization by such entity of the indubitable equivalent of such entity's interest in such property.

APPENDIX D

11 U.S.C. § 362 (2018).

Automatic stay

(a) Except as provided in subsection (b) of this section, a petition filed under section 301, 302, or 303 of this title, or an application filed under section 5(a)(3) of the Securities Investor Protection Act of 1970, operates as a stay, applicable to all entities, of--

(a)(1) the commencement or continuation, including the issuance or employment of process, of a judicial, administrative, or other action or proceeding against the debtor that was or could have been commenced before the commencement of the case under this title, or to recover a claim against the debtor that arose before the commencement of the case under this title;

(a)(2) the enforcement, against the debtor or against property of the estate, of a judgment obtained before the commencement of the case under this title;

(a)(3) any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate;

(a)(4) any act to create, perfect, or enforce any lien against property of the estate;

(a)(5) any act to create, perfect, or enforce against property of the debtor any lien to the extent that such lien secures a claim that arose before the commencement of the case under this title;

(a)(6) any act to collect, assess, or recover a claim against the debtor that arose before the commencement of the case under this title;

(a)(7) the setoff of any debt owing to the debtor that arose before the commencement of the case under this title against any claim against the debtor; and

(a)(8) the commencement or continuation of a proceeding before the United States Tax Court concerning a tax liability of a debtor that is a corporation for a taxable period the bankruptcy court may determine or concerning the tax liability of a debtor who is an individual for a taxable period ending before the date of the order for relief under this title.

(b)-(j) [omitted]

(k)(1) Except as provided in paragraph (2), an individual injured by any willful violation of a stay provided by this section shall recover actual damages, including costs and attorneys' fees, and, in appropriate circumstances, may recover punitive damages.

(k)(2) If such violation is based on an action taken by an entity in the good faith belief that subsection (h) applies to the debtor, the recovery under paragraph (1) of this subsection against such entity shall be limited to actual damages.

(l)-(o) [omitted]

APPENDIX E

11 U.S.C. § 363 (2018).

Use, sale, or lease of property.

(a)-(d) [omitted]

(e) Notwithstanding any other provision of this section, at any time, on request of an entity that has an interest in property used, sold, or leased, or proposed to be used, sold, or leased, by the trustee, the court, with or without a hearing, shall prohibit or condition such use, sale, or lease as is necessary to provide adequate protection of such interest. This subsection also applies to property that is subject to any unexpired lease of personal property (to the exclusion of such property being subject to an order to grant relief from the stay under section 362).

(f)-(p) [omitted]

APPENDIX F

11 U.S.C. § 503 (2018).

Allowance of administrative expenses

(a) An entity may timely file a request for payment of an administrative expense, or may tardily file such request if permitted by the court for cause.

(b) After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, including--

(b)(1)(A) the actual, necessary costs and expenses of preserving the estate including--

(b)(1)(A)(i) wages, salaries, and commissions for services rendered after the commencement of the case; and

(b)(1)(A)(ii) wages and benefits awarded pursuant to a judicial proceeding or a proceeding of the National Labor Relations Board as back pay attributable to any period of time occurring after commencement of the case under this title, as a result of a violation of Federal or State law by the debtor, without regard to the time of the occurrence of unlawful conduct on which such award is based or to whether any services were rendered, if the court determines that payment of wages and benefits by reason of the operation of this clause will not substantially increase the probability of layoff or termination of current employees, or of nonpayment of domestic support obligations, during the case under this title;

(b)(1)(B) any tax--

(b)(1)(B)(i) incurred by the estate, whether secured or unsecured, including property taxes for which liability is in rem, in personam, or both, except a tax of a kind specified in section 507(a)(8) of this title; or

(b)(1)(B)(ii) attributable to an excessive allowance of a tentative carryback adjustment that the estate received, whether the taxable year to which such adjustment relates ended before or after the commencement of the case;

(b)(1)(C) any fine, penalty, or reduction in credit relating to a tax of a kind specified in subparagraph (B) of this paragraph; and

(b)(1)(D) notwithstanding the requirements of subsection (a), a governmental unit shall not be required to file a request for the payment of an expense described in subparagraph (B) or (C), as a condition of its being an allowed administrative expense;

(b)(2) compensation and reimbursement awarded under section 330(a) of this title;

(b)(3) the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by--

(b)(3)(A) a creditor that files a petition under section 303 of this title;

(b)(3)(B) a creditor that recovers, after the court's approval, for the benefit of the estate any property transferred or concealed by the debtor;

(b)(3)(C) a creditor in connection with the prosecution of a criminal offense relating to the case or to the business or property of the debtor;

(b)(3)(D) a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed under section 1102 of this title, in making a substantial contribution in a case under chapter 9 or 11 of this title;

(b)(3)(E) a custodian superseded under section 543 of this title, and compensation for the services of such custodian; or

(b)(3)(F) a member of a committee appointed under section 1102 of this title, if such expenses are incurred in the performance of the duties of such committee;

(b)(4) reasonable compensation for professional services rendered by an attorney or an accountant of an entity whose expense is allowable under subparagraph (A), (B), (C), (D), or (E) of paragraph (3) of this subsection, based on the time, the nature, the extent, and the value of such services, and the cost of comparable services other than in a case under this title, and reimbursement for actual, necessary expenses incurred by such attorney or accountant;

(b)(5)-(c) [omitted]

APPENDIX G

11 U.S.C. § 507 (2018).

Priorities.

(a) The following expenses and claims have priority in the following order:

(a)(1) First:

(a)(1)(A) Allowed unsecured claims for domestic support obligations that, as of the date of the filing of the petition in a case under this title, are owed to or recoverable by a spouse, former spouse, or child of the debtor, or such child's parent, legal guardian, or responsible relative, without regard to whether the claim is filed by such person or is filed by a governmental unit on behalf of such person, on the condition that funds received under this paragraph by a governmental unit under this title after the date of the filing of the petition shall be applied and distributed in accordance with applicable nonbankruptcy law.

(a)(1)(B) Subject to claims under subparagraph (A), allowed unsecured claims for domestic support obligations that, as of the date of the filing of the petition, are assigned by a spouse, former spouse, child of the debtor, or such child's parent, legal guardian, or responsible relative to a governmental unit (unless such obligation is assigned voluntarily by the spouse, former spouse, child, parent, legal guardian, or responsible relative of the child for the purpose of collecting the debt) or are owed directly to or recoverable by a governmental unit under applicable nonbankruptcy law, on the condition that funds received under this paragraph by a governmental unit under this title after the date of the filing of the petition be applied and distributed in accordance with applicable nonbankruptcy law.

(a)(1)(C) If a trustee is appointed or elected under section 701, 702, 703, 1104, 1202, or 1302, the administrative expenses of the trustee allowed under paragraphs (1)(A), (2) and (6) of section 503(b)

shall be paid before payment of claims under subparagraphs (A) and (B), to the extent that the trustee administers assets that are otherwise available for the payment of such claims.

(a)(2) Second, administrative expenses allowed under section 503(b) of this title, unsecured claims of any Federal reserve bank related to loans made through programs or facilities authorized under section 13(3) of the Federal Reserve Act (12 U.S.C. 343), and any fees and charges assessed against the estate under chapter 123 of title 28.

(a)(3) Third, unsecured claims allowed under section 502(f) of this title.

(a)(4) Fourth, allowed unsecured claims, but only to the extent of $12,850[1] for each individual or corporation, as the case may be, earned within 180 days before the date of the filing of the petition or the date of the cessation of the debtor's business, whichever occurs first, for--

(a)(4)(A) wages, salaries, or commissions, including vacation, severance, and sick leave pay earned by an individual; or

(a)(4)(B) sales commissions earned by an individual or by a corporation with only 1 employee, acting as an independent contractor in the sale of goods or services for the debtor in the ordinary course of the debtor's business if, and only if, during the 12 months preceding that date, at least 75 percent of the amount that the individual or corporation earned by acting as an independent contractor in the sale of goods or services was earned from the debtor.

(a)(5) Fifth, allowed unsecured claims for contributions to an employee benefit plan--

(a)(5)(A) arising from services rendered within 180 days before the date of the filing of the petition or the date of the cessation of the debtor's business, whichever occurs first; but only

(a)(5)(B) for each such plan, to the extent of--

(a)(5)(B)(i) the number of employees covered by each such plan multiplied by $12,850; less

(a)(5)(B)(ii) the aggregate amount paid to such employees under paragraph (4) of this subsection, plus the aggregate amount paid by the estate on behalf of such employees to any other employee benefit plan.

(a)(6) Sixth, allowed unsecured claims of persons--

(a)(6)(A) engaged in the production or raising of grain, as defined in section 557(b) of this title, against a debtor who owns or operates a grain storage facility, as defined in section 557(b) of this title, for grain or the proceeds of grain, or

(a)(6)(B) engaged as a United States fisherman against a debtor who has acquired fish or fish produce from a fisherman through a sale or conversion, and who is engaged in operating a fish produce storage or processing facility--

but only to the extent of $6,325[1] for each such individual.

(a)(7) Seventh, allowed unsecured claims of individuals, to the extent of $2,850[1] for each such individual, arising from the deposit, before the commencement of the case, of money in connection with the purchase, lease, or rental of property, or the purchase of services, for the personal, family, or household use of such individuals, that were not delivered or provided.

(a)(8) Eighth, allowed unsecured claims of governmental units, only to the extent that such claims are for--

(a)(8)(A) a tax on or measured by income or gross receipts for a taxable year ending on or before the date of the filing of the petition--

(a)(8)(A)(i) for which a return, if required, is last due, including extensions, after three years before the date of the filing of the petition;

(a)(8)(A)(ii) assessed within 240 days before the date of the filing of the petition, exclusive of--

(a)(8)(A)(I) any time during which an offer in compromise with respect to that tax was pending or in effect during that 240-day period, plus 30 days; and

(a)(8)(A)(II) any time during which a stay of proceedings against collections was in effect in a prior case under this title during that 240-day period, plus 90 days; or

(a)(8)(A)(iii) other than a tax of a kind specified in section 523(a)(1)(B) or 523(a)(1)(C) of this title, not assessed before, but assessable, under applicable law or by agreement, after, the commencement of the case;

(a)(8)(B) a property tax incurred before the commencement of the case and last payable without penalty after one year before the date of the filing of the petition;

(a)(8)(C) a tax required to be collected or withheld and for which the debtor is liable in whatever capacity;

(a)(8)(D) an employment tax on a wage, salary, or commission of a kind specified in paragraph (4) of this subsection earned from the debtor before the date of the filing of the petition, whether or not actually paid before such date, for which a return is last due, under applicable law or under any extension, after three years before the date of the filing of the petition;

(a)(8)E) an excise tax on--

(a)(8)(E)(i) a transaction occurring before the date of the filing of the petition for which a return, if required, is last due, under applicable law or under any extension, after three years before the date of the filing of the petition; or

(a)(8)(E)(ii) if a return is not required, a transaction occurring during the three years immediately preceding the date of the filing of the petition;

(a)(8)(F) a customs duty arising out of the importation of merchandise--

(a)(8)(F)(i) entered for consumption within one year before the date of the filing of the petition;

(a)(8)(F)(ii) covered by an entry liquidated or reliquidated within one year before the date of the filing of the petition; or

(a)(8)(F)(iii) entered for consumption within four years before the date of the filing of the petition but unliquidated on such date, if the Secretary of the Treasury certifies that failure to liquidate such entry was due to an investigation pending on such date into assessment of antidumping or

countervailing duties or fraud, or if information needed for the proper appraisement or classification of such merchandise was not available to the appropriate customs officer before such date; or

(a)(8)(G) a penalty related to a claim of a kind specified in this paragraph and in compensation for actual pecuniary loss.

An otherwise applicable time period specified in this paragraph shall be suspended for any period during which a governmental unit is prohibited under applicable nonbankruptcy law from collecting a tax as a result of a request by the debtor for a hearing and an appeal of any collection action taken or proposed against the debtor, plus 90 days; plus any time during which the stay of proceedings was in effect in a prior case under this title or during which collection was precluded by the existence of 1 or more confirmed plans under this title, plus 90 days.

(a)(9) Ninth, allowed unsecured claims based upon any commitment by the debtor to a Federal depository institutions regulatory agency (or predecessor to such agency) to maintain the capital of an insured depository institution.

(a)(10) Tenth, allowed claims for death or personal injury resulting from the operation of a motor vehicle or vessel if such operation was unlawful because the debtor was intoxicated from using alcohol, a drug, or another substance.

(a)(10)(b) If the trustee, under section 362, 363, or 364 of this title, provides adequate protection of the interest of a holder of a claim secured by a lien on property of the debtor and if, notwithstanding such protection, such creditor has a claim allowable under subsection (a)(2) of this section arising from the stay of action against such property under section 362 of this title, from the use, sale, or lease of such property under section 363 of this title, or from the granting of a lien under section 364(d) of this title, then such creditor's claim under such subsection shall have priority over every other claim allowable under such subsection.

(a)(10)(c) For the purpose of subsection (a) of this section, a claim of a governmental unit arising from an erroneous refund or credit of a tax has the same priority as a claim for the tax to which such refund or credit relates.

(a)(10)(d) An entity that is subrogated to the rights of a holder of a claim of a kind specified in subsection (a)(1), (a)(4), (a)(5), (a)(6), (a)(7), (a)(8), or (a)(9) of this section is not subrogated to the right of the holder of such claim to priority under such subsection.

APPENDIX H

11 U.S.C. § 541 (2018).

Property of the estate.

(a) The commencement of a case under section 301, 302, or 303 of this title creates an estate. Such estate is comprised of all the following property, wherever located and by whomever held:

(a)(1) Except as provided in subsections (b) and (c)(2) of this section, all legal or equitable interests of the debtor in property as of the commencement of the case.

(a)(2) All interests of the debtor and the debtor's spouse in community property as of the commencement of the case that is--

(a)(2)(A) under the sole, equal, or joint management and control of the debtor; or

(a)(2)(B) liable for an allowable claim against the debtor, or for both an allowable claim against the debtor and an allowable claim against the debtor's spouse, to the extent that such interest is so liable.

(a)(3) Any interest in property that the trustee recovers under section 329(b), 363(n), 543, 550, 553, or 723 of this title.

(a)(4) Any interest in property preserved for the benefit of or ordered transferred to the estate under section 510(c) or 551 of this title.

(a)(5) Any interest in property that would have been property of the estate if such interest had been an interest of the debtor on the date of the filing of the petition, and that the debtor acquires or becomes entitled to acquire within 180 days after such date--

(a)(5)(A) by bequest, devise, or inheritance;

(a)(5)(B) as a result of a property settlement agreement with the debtor's spouse, or of an interlocutory or final divorce decree; or

(a)(5)(C) as a beneficiary of a life insurance policy or of a death benefit plan.

(a)(6) Proceeds, product, offspring, rents, or profits of or from property of the estate, except such as are earnings from services performed by an individual debtor after the commencement of the case.

(a)(7) Any interest in property that the estate acquires after the commencement of the case.

(b)-(f) [omitted]

APPENDIX I

11 U.S.C. § 542 (2018).

Turnover of property to the estate

(a) Except as provided in subsection (c) or (d) of this section, an entity, other than a custodian, in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate.

(b) Except as provided in subsection (c) or (d) of this section, an entity that owes a debt that is property of the estate and that is matured, payable on demand, or payable on order, shall pay such debt to, or on the order of, the trustee, except to the extent that such debt may be offset under section 553 of this title against a claim against the debtor.

(c) Except as provided in section 362(a)(7) of this title, an entity that has neither actual notice nor actual knowledge of the commencement of the case concerning the debtor may transfer property of the estate, or pay a debt owing to the debtor, in good faith and other than in the manner specified in subsection (d) of this section, to an entity other than the trustee, with the same effect as to the entity making such transfer or payment as if the case under this title concerning the debtor had not been commenced.

(d) A life insurance company may transfer property of the estate or property of the debtor to such company in good faith, with the same effect with respect to such company as if the case under this title concerning the debtor had not been commenced, if such transfer is to pay a premium or to carry out a nonforfeiture insurance option, and is required to be made automatically, under a life insurance contract with such company that was entered into before the date of the filing of the petition and that is property of the estate.

(e) Subject to any applicable privilege, after notice and a hearing, the court may order an attorney, accountant, or other person that holds recorded information, including books, documents, records, and papers, relating to the debtor's property or financial affairs, to turn over or disclose such recorded information to the trustee